



ACQUISITION • CONVERSION • RETENTION • ECONOMICS



GROWTH ENGINE TEARDOWN

TODAY'S TEARDOWN.

01 BUSINESS MODEL

02 KEY METRICS

03 MARGIN ECONOMICS

04 ACQUISITION

05 FREE → PREMIUM

06 RETENTION

07 WHAT ZIMRAN CAN LEARN

08 KEY TAKEAWAY

FREE IS THE FUNNEL. PREMIUM IS THE ECONOMIC ENGINE.

777M

MONTHLY ACTIVE
USERS

300M

PREMIUM
SUBSCRIBERS

€4.78B

Q2'26 REVENUE

FREE + INDIVIDUAL / STUDENT / DUO / FAMILY
PRICING LOCALIZED BY MARKET

184

MARKETS

FREE IS THE MAIN SOURCE OF NEW PREMIUM USERS.

SOURCE: SPOTIFY FY2025 FORM 20-F; Q2 2026 6-K. REVENUE MIX: Q2'26.

USERS



SPOTIFY FREE



AD REVENUE

~9%



PREMIUM
FUNNEL



PREMIUM
~91% REVENUE

GROWTH IS BECOMING A MONETIZATION STORY.

+9%

PREMIUM SUBSCRIBERS

+7%

PREMIUM ARPU

+15%

PREMIUM REVENUE

+12% MAU

+14% TOTAL REVENUE

33.4% GROSS MARGIN

+61% OPERATING INCOME

SPOTIFY +15%

INDUSTRY +8.8%

Premium revenue vs global paid subscription streaming revenue.

Spotify Q2'26 YoY; IFPI FY2025 YoY. Different periods and revenue definitions: directional only.

Source: Spotify Q2 2026 6-K; IFPI Global Music Report 2026. Growth drivers shown, not an exact equation.

SPOTIFY CAN'T REMOVE ITS BIGGEST COST. IT HAS TO OUTFRAN IT.

€1.00

REVENUE

-€0.67

COST OF REVENUE

Royalties, licensing, content,
delivery and payments

€0.33

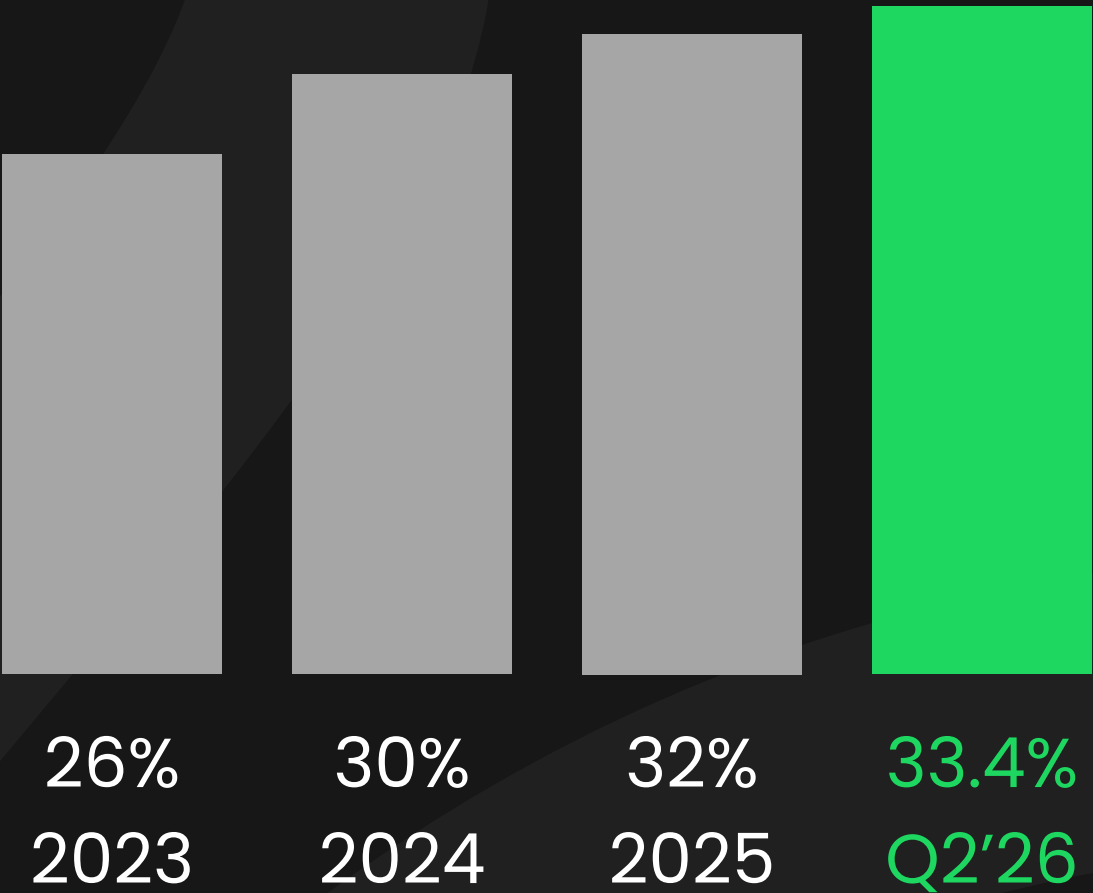
GROSS PROFIT

-€0.19: R&D, sales & marketing, G&A

€0.14

OPERATING PROFIT

GROSS MARGIN



Revenue must grow faster than content costs.

Source: Spotify FY2025 Form 20-F; Q2 2026 6-K. €1 breakdown: Q2'26, rounded. Annual margins: reported rounded figures.

SPOTIFY USES PAID MARKETING. BUT OWNS MUCH OF ITS FUNNEL.

01 PAID

Performance social
Global campaigns

02 OWNED

Free tier
In-app prompts
Trials

03 EARNED

Wrapped
Playlists
Sharing

04 PARTNERS

Telcos and bundles
Devices
Payment
infrastructure

WRAPPED 2025

300M+

Engaged users

630M+

Social shares

Listening data becomes user-generated distribution.

Source: Spotify FY2025 Form 20-F; Q2 2026 6-K; Spotify Newsroom, Q4 2025 earnings / Wrapped.

SPOTIFY REMOVES 3 OBJECTIONS TO PURCHASE.

01 WHY PAY?

VALUE GAP
Ad-free music
Offline downloads
Playback control
Better audio

↑ Upgrade intent

02 WHAT IF I REGRET IT?

FREE / DISCOUNTED TRIAL
Experience Premium
before committing.
Trials materially aided
Q2'26 gross additions.

↑ Trial → paid

03 TOO EXPENSIVE?

PRICE SEGMENTATION
Student, Duo, Family,
Individual
Family + Duo: significant
share of gross additions.

↑ Gross additions

Sequentially remove value, risk and price friction.

Source: Spotify FY2025 Form 20-F; Q2 2026 6-K; official Premium page. Arrows indicate interpreted mechanisms, not measured lift.

RETENTION ISN'T ONLY AN ALGORITHM STORY.

FAMILY PLAN

Lower effective price
+ individual accounts
+ multi-device usage



More engagement



Lower churn → higher LTV

Household-habit mechanism: interpretation

REPORTED BY SPOTIFY

Family, Duo and Student plans have aided Premium retention.

MULTI-DEVICE EFFECT

Premium listeners using multiple devices show higher engagement and lower churn.

DISCOVER WEEKLY 100B+ tracks streamed historically 56M+ new artist discoveries weekly

Source: Spotify FY2025 Form 20-F; Discover Weekly 10-year report (June 2025). Personalization supports habit; no causal churn claim.

DON'T COPY SPOTIFY'S FEATURES. COPY THE GROWTH PRINCIPLES.

01 VALUE BEFORE MONETIZATION

Free → habit → Premium.
Let users experience value before
payment.

03 MAKE USAGE DISTRIBUTABLE

Usage → personalized output
→ sharing → acquisition.

02 DESIGN AROUND OBJECTIONS

Ask why users hesitate.
Build a mechanism for each objection.

04 OPTIMIZE ECONOMICS, NOT VANITY METRICS

Free MAU +14% / revenue +1%
Premium subs +9% / revenue +15%

Growth without downstream economic value is not automatically good growth.

Source: Author synthesis; Spotify Q2 2026 6-K (YoY, restated segment comparatives).

SPOTIFY'S ADVANTAGE IS A SYSTEM. NOT ONE FEATURE.

FREE → USAGE → DATA + HABIT → SHARING



BETTER PRODUCT ← REVENUE ← PREMIUM ← ACQUISITION

ACQUIRE

Own the funnel

CONVERT

Remove friction

RETAIN

Build habit

**DON'T OPTIMIZE WHAT IS EASIEST TO MEASURE.
OPTIMIZE DOWNSTREAM ECONOMIC VALUE.**

Source: Author synthesis of Spotify FY2025 Form 20-F and Q2 2026 results. Loop is an analytical model.